

DNA pitch deck

Live IBKR lookup was denied this session, so I could not adjudicate the 6.96 vs 7.055 price dispute against a fresh tick. The deck uses the evidence pack's 6.96 and flags the discrepancy as an open item.

PITCH — DNA — VERDICT

PROPOSED — PENDING ADJUDICATION — Do not buy. Both benches land on no position; the reason that survives scrutiny is that Ginkgo's customer prepayment balance is *shrinking*, not that the stock is expensive.

What we believe

Ginkgo Bioworks (ticker DNA) rents out automated biology labs. Customers pay it to run experiments on robotic systems, and increasingly to buy the robotic systems outright. The company sold off its biosecurity division in April 2026, so what's left is a smaller, faster-shrinking business: \$20.2M of revenue in the June quarter, \$39.6M in the first half.

The original case for buying was simple: the company's order book for automated labs is visible from the outside — government awards, university contracts, press releases — so we could count the backlog ourselves and know whether revenue was about to turn *before* management said anything on the November call. If the backlog was real and about to convert, the stock at \$6.96 was too cheap.

We now believe that case is wrong, and we believe it for a reason neither bench started with. The order book **is** countable from the outside, but not from press releases — it sits on the balance sheet as money customers have already paid in advance. That number **fell** during the first half of 2026, from \$94.1M to \$89.8M. Customers are consuming what they already bought faster than new customers are signing on. And Ginkgo itself has told the SEC that 85% of what remains (\$76.5M of \$89.8M) will *not* be recognized as revenue within the next twelve months. That is management's own tagging, not our estimate.

So: the thing we were going to count, we counted. It says no.

Separately, we believe the stock is genuinely cheap on the narrow measure — market value \$469M against \$302M of cash and marketable securities, so the operating business is being valued at roughly \$167M against ~\$83M of expected revenue. Cheap is not the same as investable when the backlog is contracting and cash is burning at \$186M a year.

What the market believes

Three analysts cover the stock. Their consensus revenue forecast for 2026 is \$83M, cut 22% from \$106M. The rating is Sell. The average price target is \$7.00 against a \$6.96 tape.

That means the market believes almost exactly what we believe: revenue lands near \$83M, the business is shrinking about 48% year over year, and the stock is worth roughly what it costs. Roughly 12.4–12.6% of the freely traded shares are sold short — a meaningful group is betting it goes lower, mostly on cash burn and dilution.

The stock is down 60% from its 52-week high of \$17.51, but it has already bounced 30% off the \$5.37 low. This is not a fresh, un-bought panic.

Why we might have edge

Three honest candidates, in descending order of strength:

1. We can read the balance sheet faster than the tape does. With three analysts on a \$469M company, there is no institutional machine grinding through the contract-liability footnote each quarter. The current-versus-long-term split of customer prepayments is a direct, management-signed statement about when revenue arrives, and it is available the day the 10-Q posts — no earnings call needed. We used it. Almost nobody else appears to be.

2. The valuation convention is contested, and that creates a real disagreement. Ginkgo has \$404M of long-term lease obligations on buildings. Whether you treat that as debt (making the company expensive) or as ordinary rent already inside the burn rate (making it cheap) changes the answer by a factor of three. Most screens treat it one way mechanically. A judgment call on that is a legitimate place to differ from a machine.

3. There is unrun physical evidence. Ginkgo leases roughly 260,000 square feet of newly built Boston space and owns 193,000 square feet in West Sacramento. Revenue has halved and no lease impairment has been recorded. Satellite thermal imagery would tell us whether those buildings are actually occupied. Nobody ran it. If they are half-empty, this stops being a valuation question and becomes a write-down question.

Why it might be priced in

Bluntly: most of it is.

Our revenue number *is* the street's revenue number. Our price target is the street's price target, to the cent. There is no gap between what we think and what the price says — and without a gap there is nothing to be paid for.

The shrinking-backlog finding, which is our best original work, points the same direction the stock has already gone. It confirms the 60% decline rather than contradicting it. Being right about *why* a stock fell is not the same as having an edge on where it goes next.

And the short interest (12.4–12.6% of float) tells us the skeptical case is already crowded. Being the tenth person through the same door is not edge.

The one thing plausibly *not* priced: dilution timing. Cash of \$302M against a \$186M annual burn is about 19.5 months of runway, ending around Q1 2028. A capital raise very likely comes before the business reaches the size that would justify a higher price. Nobody has put a date on that, and it argues for lower, not higher.

Why we might have edge — the roof

Worth stating separately because it is the number that decides everything. For this to be worth +50% from here, at a generous 4× revenue multiple, Ginkgo needs revenue somewhere between **\$100M and \$125M** depending on how you treat the leases — call it 1.2× to 1.5× consensus. That is a far shorter ladder than one bench claimed. But funding the ramp to get there costs roughly \$390M of burn over three years, which at today’s price is about 83% dilution. The ladder is reachable; the roof falls on you while you climb it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count and market value	10-Q cover page, 7/31/26	55,383,808 Class A + 8,956,469 Class B + 3,000,000 non-voting = 67,340,277 shares ; at \$6.96 → \$468.7M market value	✅ Confirmed
Cash position	10-Q balance sheet	\$84.5M cash + \$217.6M marketable securities = \$302.2M ; no borrowed debt; separately \$87.5M is restricted	✅ Confirmed
“The flagship contract funds the business”	Company press release + arithmetic	The PNNL/Dept. of Energy award is “four-year, up to \$47M ” = ~\$2.9M per quarter against a \$45M quarterly burn — 6.5% of one quarter	✅ Confirmed, and fatal to the original case
“The order book is visible in federal award data”	Award-data structure	Refuted. PNNL is run by Battelle, so a Ginkgo award is a subcontract and does not appear in prime-award records. Our own brief’s stated method did not work	❌ Our brief was wrong
Size of the actual order book	SEC XBRL, contract liabilities	\$13.2M due within a year + \$76.5M beyond = \$89.8M — nearly 2× the entire PNNL ceiling	⚠️ Our red bench was wrong by ~2× — it priced the book off one press release when the balance sheet carried the answer
Direction of the order book	Same, compared to 12/31/25	Fell from \$94.1M to \$89.8M in six months. Recognition is outrunning new bookings	✅ Confirmed — this is the actual kill, and our first bench missed it entirely
Timing of the order book	Company’s own current/long-term tagging	85% classified as beyond twelve months. Management is saying it will not convert next quarter	✅ Confirmed — cleaner than the contract arithmetic our first bench used

Claim	How checked	Found	Confirmed?
“\$84.6M of restricted cash makes the contract a cash <i>drain</i> ”	Restricted balance (\$84.6M) vs total prepayments (\$89.8M)	The restricted balance is predominantly segregated customer prepayments , which release to free cash as work is performed. It is deferred cash <i>received</i> , not cash lost	❌ Our red bench got the direction backwards — downgraded from “fatal” to a disclosure gap
Was that counted twice?	Cross-read of the same bench’s findings 2 and 6	Yes. “Prepayments produce revenue without cash” and “restricted-cash release flatters the burn” are the same balance seen from two sides, tallied as two separate kills	❌ Double-counted
“Enterprise value is 6.9× sales”	SEC XBRL, right-of-use asset	The bench added the \$404M lease <i>liability</i> to enterprise value while ignoring the \$347.7M lease <i>asset</i> , and rent is already inside the burn rate feeding its own runway math. Charged twice	❌ One-sided. Defensible range is 2.0× (leases excluded) to 3.0× (net of the asset), not 6.9×
“The upside prize only clears +50% at ~\$210M revenue”	Rebuilt both ways	Under the harshest lease treatment, ~\$200M. Excluding leases, ~\$100M. Net of the lease asset, ~\$120M. The load-bearing valuation claim was an artifact of one convention	❌ Materially wrong. But the correction cuts both ways — the second bench’s fix treats a building lease as if it were cash, which overshoots the other direction
Is “revenue halved” a divestiture illusion?	Compared restated vs as-reported prior-year figures	No. The –48% uses the restated \$38.9M comparison excluding the sold division. The illusion would be the <i>more</i> bearish –59% off the as-reported \$49.6M	✅ Confirmed — both benches clean here
...but is that \$38.9M itself verified?	SEC XBRL revenue element	No. The only prior-year Q2 figure tagged in primary filings is \$49.6M (pre-divestiture). The \$38.9M comparison exists only in third-party data feeds, which render it inconsistently as \$38.5M / \$38.9M / \$39.1M	⚠️ Our headline decline rate rests on a secondary source
Third-party data quality generally	Cross-venue comparison	One feed’s reported net loss divided by its reported per-share loss implies 124.5M shares against 67.3M actual. Another presents a 91% gross margin for a company that reports as a single segment with no meaningful cost-of-goods line	✅ Confirmed — do not trust the summaries on this name
Insider economics on the divestiture	10-Q, related-party note	Ginkgo shareholders retained ~20% of the spun-out Perimeter entity; ~30% was issued to Perimeter management previously employed by Ginkgo , recognized as \$15.4M of compensation expense. Ginkgo values its retained stake with its own internal model	✅ Confirmed — under our own rules this permanently caps what we’d pay

Claim	How checked	Found	Confirmed?
Is the burn guidance achievable?	8-K 8/5/26 vs first-half actuals	Guide is \$125–150M for the year; first half already spent \$93M. Second half must run \$16–28M per quarter — a 37–64% step down, with no restructuring announcement on file	⚠️ Gap confirmed; the mechanism is disputed. Restricted-cash release and working-capital reversal are legitimate operating paths our first bench declared absent
Runway	$\$302.2\text{M} \div \186M annualized burn	19.5 months , to roughly Q1 2028. Against the company's own guide, 24–29 months. No going-concern warning in the 10-Q — verified, not assumed	✅ Confirmed
Current price	Evidence pack	Pack says \$6.96 . Our second bench asserted the pack said \$7.055 and rebuilt the market cap on it	⚠️ The pack does not say 7.055. Live re-check was blocked this session. Immaterial to the verdict (1.4%), but it is an uncorroborated number in a bench that was auditing another bench for exactly this
Automated flag on the first bench's drawdown math	Re-read against the pack	The runner warned that the bench quoted "+7.0" against the pack's –60.4%. Audited: the warning appears to have caught the \$7.00 analyst price target , not a drawdown claim. The bench's actual figure (–60.4% using a 17.58 high) matches the pack (–60.2% off 17.505) within rounding	✅ False alarm — bench tape framing is sound

Net on our own process: the first bench reached the right verdict through four findings, three of which were wrong or overstated. The second bench corrected them and then supplied the actual reason to stay out — which the first bench never found. Neither bench pulled the two pieces of physical evidence (building occupancy, workplace inspection records) that would have converted a valuation debate into a write-down debate. That is the process failure worth carrying forward.

PROPOSED ENTRY BANDS

No entry. No starter. No resting order. Position stays flat at zero.

Our default is to take a small starter position in any name that survives court without a specific named reason to refuse. This name has one: **customer prepayments are shrinking (\$94.1M → \$89.8M) and 85% of what's left is management-classified as more than a year out.** A business whose forward book is contracting does not get the benefit of the doubt.

Because the reason we're out is *evidentiary*, not *valuation*, a lower price does not by itself fix it. The reopen conditions below are therefore in two parts, and **the evidence condition must clear first**.

Reopen — evidence (required, first): - Q3 2026 10-Q shows **total contract liabilities rising** versus \$89.8M, **and** the long-term portion migrating into the current portion. This is observable from the filing alone, no management commentary required. Expected early-to-mid November 2026. - *Or* an 8-K announcing restructuring or lease termination with a named dollar figure large enough to supply the missing 37–64% burn step-down. - *Or* disclosure splitting the \$84.565M restricted balance between the surety bond and customer prepayments. Predominantly surety, released on delivery, materially improves the cash story.

Reopen — price (secondary, only once evidence clears): Both benches' math, run under both lease conventions, brackets fair value at consensus \$83M revenue and a 4× multiple:

Lease treatment	Implied fair value	vs \$6.96
Full liability, no offsetting asset (bear)	\$3.42	–51%
Net of the lease asset (middle)	\$8.24	+18%
Leases excluded entirely (bull)	\$9.42	+35%

The related-party overhang from the Perimeter carve-out caps what we would ever pay at 85% of fair value. Applied to the middle case, that is **\$7.00** — the tape. There is no room.

Given a contracting book, we would require entry below the *bearish* convention, where even a full charge for the leases implies no premium: - **Starter band: \$2.75 – \$3.42** (0.25% of book), and only with the evidence condition cleared. - **Add band: below \$2.50** (to 0.75% of book), and only after **two consecutive quarters** of rising contract liabilities. - **Hard ceiling: 1.0% of book**. This name can never be sized as a fair-and-fully-paid holding while the related-party overhang stands. - **No exits or trims to specify** — we own none.

Catalyst dates: - 2026-11-05 — Q3 results. UNCONFIRMED. This date is derived from a third-party calendar. No company announcement names it. The Q2 8-K landed 2026-08-05, which implies early November. Roughly 53 trading sessions away — far outside the window where a pre-print position would make sense. - **Same window — Q3 10-Q.** This is the one that matters more than the earnings release, because the contract-liability split is in the filing, not the press release. - **No other dated, company-confirmed catalyst exists.**

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.37 (deck-provisional: 52-week low; a break marks regime change and forces a re-court, not an entry)
- filing watch: 10-Q until 2027-02-17 (deck-provisional: Q3 contract liabilities rising above \$89.8M and long-term portion migrating to current — the named reo)

- dated pack DNA|2026-11-05: DNA: Q3 2026 results — date derived from a third-party calendar, no company release names it (date confirmed=False)
- dated pack DNA|2026-11-12: DNA: Q3 10-Q expected (Q2 filed 2026-08-06, one day after the results 8-K); carries the contract-liability split that decides the reopen (da

What remains unverified

Stated plainly, including the parts that weaken our own conclusion:

1. **The split of the \$84.565M restricted cash** between the surety bond and segregated customer prepayments is not disclosed. The SEC data element for it returned an error. This is the single item that could most improve the cash story — surety released on delivery is very different from money that is simply spoken for.
2. **The prior-year revenue comparison of \$38.9M** — the denominator of our headline “down 48%” — appears in no primary filing. It exists only in third-party renderings that disagree with each other (\$38.5M / \$38.9M / \$39.1M). Our central descriptive fact about this business is sourced to feeds we have separately proven unreliable on this name.
3. **The November 5 earnings date is unconfirmed.** No company release names it.
4. **Whether the leased buildings are occupied.** Unrun. See sensors 8 and 9.
5. **The mechanism behind the reaffirmed burn guidance.** Second-half spending must fall 37–64% per quarter and no restructuring has been announced. We know the gap exists; we do not know whether it closes through genuine operating improvement, restricted-cash release, or working-capital reversal.
6. **The current portion of the operating lease liability** was never pulled directly; the ~\$427M total-liability figure is inferred.
7. **The right multiple.** Both benches used 4× revenue. On a business shrinking 48% a year that is generous, and the second bench said so. Every fair-value figure in this deck moves proportionally if it is wrong.
8. **Today’s actual price.** The pack says \$6.96; one bench asserted \$7.055 without support; the live broker lookup was blocked this session. Immaterial to a no-entry verdict, material to any future entry-band arithmetic.
9. **Whether the shrinking-backlog finding is genuinely ours.** With three analysts covering, the balance-sheet read is plausibly uncrowded — but 12.4% short interest suggests someone has done comparable work. We have not established that our best finding is not already in the price.

Primary sources: [10-Q filing index, period ended 2026-06-30 \(accession 0001628280-26-054298\)](#) · [Contract liabilities, long-term portion — SEC XBRL](#) · [Right-of-use asset — SEC XBRL](#) · [PNNL award announcement](#)

```
{"price_gates": [{"level": 3.42, "direction": "below", "basis": "Fair value at consensus $83M revenue under the full-lease-liability convention; entry only below this AND only after the contract-liability evidence gate clears"}, {"level": 5.37, "direction": "below", "basis": "52-week low; a break marks regime change and forces a re-court, not an entry"}, {"level": 10.44, "direction": "above", "basis": "+50% from tape without the backlog turning would confirm the thesis was priced-in and the shrinking-book kill was wrong; log as calibration miss"}], "event_gates": [{"forms": ["10-Q"], "why": "Q3 contract liabilities rising above $89.8M and long-term portion migrating to current – the named reopen trigger"}, {"forms": ["8-K"], "why": "Restructuring, lease termination or sublease with a named dollar figure supplying the missing 37-64% burn step-down"}, {"forms": ["S-3", "424B5", "8-K"], "why": "Equity raise or at-the-market program; 19.5 months of runway makes dilution the most likely price-moving event"}, {"forms": ["10-Q", "10-K"], "why": "Disclosure splitting the $84.565M restricted balance between surety bond and segregated customer prepayments"}, {"forms": ["4", "144"], "why": "Insider sale cadence; two 144s filed within five weeks (2026-07-17, 2026-08-17)"}, {"forms": ["10-Q", "10-K"], "why": "Re-mark of the retained Perimeter stake, valued by the company's own internal model, and any lease impairment charge"}], "catalyst_dates": [{"date": "2026-11-05", "what": "Q3 2026 results – date derived from a third-party calendar, no company release names it", "confirmed": false}, {"date": "2026-11-12", "what": "Q3 10-Q expected (Q2 filed 2026-08-06, one day after the results 8-K); carries the contract-liability split that decides the reopen", "confirmed": false}], "immediate_entry": null}
```